

Tool

Money Practices

Research has shown that adopting certain key business habits leads to business growth, and we want to help you identify which business practices you can introduce or improve in your business. This tool will help you assess which key money practices you are doing and which you might be missing from your business.

Once you have scored each practice, remember to discuss your scores with your team of senior managers and decide on a score you all agree to for each practice. You can write down this score next to each practice below.

Practice	Outcome	Rating	Description
M1: Capture all money transactions: We keep records of all our business transactions, including sales, purchases, loans, deposits and payments.	We know what's going in and out of our business (and if required can show proof to get a loan or identify mistakes or fraud)	0 = We have an informal system for keeping slips and ad hoc records. 1 = Someone (like a bookkeeper) keeps track of money from time to time and tells us if we have enough. 2 = All money transactions are captured immediately and checked by an independent person, in a system that provides a clear picture of the health of the business.	The key element of this practice is that any transaction into or out of the business should be recorded when it occurs. The system should be consistent and accessible to management. It is better if this is done on a computer system that can be monitored, as that reduces the opportunity for fraud through manual changes later. Where cash is involved, the system should prevent one employee being in the vulnerable position of handling it without any checks to prove honesty.
M2: Review financial performance: We review weekly/monthly how the business is doing financially (e.g. revenue/costs/profits/cashflow)	We have the data to make good decisions before it's too late.	0 = We seldom have a clear picture of the profitability of the company. 1 = Our bookkeeper keeps track of these things and lets us know that we have enough money.	The key element of this practice is that monitoring cash flow and profitability is not left to chance, but that those who make decisions about pricing, costs, and other matters are informed by this as regularly as is needed to take corrective

		2 = Every decision-maker in the business reviews at least monthly the key financial indicators (at least cash flow and profitability) of the part of the business for which they are responsible.	steps before any deviance from expectations becomes a problem. This requires that those concerned understand key financial indicators and the difference between revenue and profit and between cash flow and profitability.
M3 : Budget : Each year we predict what our income and costs will be each month and each month we compare actuals against what we expected and make decisions accordingly.	We understand what we need to do to ensure profitability and have sufficient cash through the year, and to manage costs and revenues to meet budget.	0 = We do not budget. 1 = Our bookkeeper / accountant draws up an annual budget. 2 = All decision makers are involved in budgeting to ensure that they understand what we need to do to ensure profitability and have sufficient cash through the year, and to manage costs and revenues to meet budget.	The purpose of the budget is to anticipate what will be needed to run the business. It includes a list of all expected income and all expected expenses. Included should be a month-by-month cash flow projection to ensure that the business will have enough cash to survive throughout the year, particularly if revenues are received after expenses are incurred, and if there are seasonal quiet periods or expensive periods. There should be enough detail in the budget to understand the profitability (revenue minus all costs) of each major product/service sold, to help you make strategic decisions about what to stop, keep or begin doing.
M4: Reduce costs: We regularly review what we spend money and time on and take steps to reduce what we spend.	We are able to reduce waste and increase profits.	0 = We do not review our costs. 1 = We are aware of some of our costs and try to keep them as low as we can. 2 = We have regular reviews (quarterly or annual, depending on the cost item) to see where we can reduce both variable and overhead costs. On the basis of this we implement and monitor steps to reduce cost.	This practice aims specifically to reduce both variable and overhead costs. It entails not just containing costs, but actively reducing them without jeopardising the quality of our product or service. Cost reduction should be an item on the agenda for the manager(s) of the business at least every year. A regular meeting should be scheduled annually or quarterly for all staff members who are involved in a particular part of the business to review costs in their part of the business.